

Performance Review Process

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1. Purpose

This document describes NovaTech Enterprises' Performance Review Process, which is designed to align individual contributions with business goals, provide employees with regular, constructive feedback, and inform decisions related to compensation, promotion, and development planning.

2. Performance Cycle Overview

The performance year runs from 1 April to 31 March and consists of three key checkpoints: Goal Setting (April), Mid-Year Review (October), and Year-End Review (March). Managers and employees are expected to have ongoing, informal check-ins throughout the year in addition to these formal checkpoints.

3. Goal Setting

At the start of the performance year, each employee, in consultation with their manager, sets 3 to 5 individual goals aligned to their role and team objectives, following the Company's OKR (Objectives and Key Results) framework. Goals should be specific, measurable, and reviewed for continued relevance at the mid-year checkpoint.

4. Mid-Year Review

The Mid-Year Review is a structured but informal checkpoint where the manager and employee discuss progress against goals, identify any blockers, and adjust priorities if business needs have changed. This is not a rated review but is documented in the HRMS performance module to support the Year-End Review discussion.

5. Year-End Review

5.1 Self-Assessment

Employees complete a self-assessment reflecting on their achievements against goals, key contributions, and areas for growth over the performance year.

5.2 Manager Assessment

The reporting manager evaluates the employee's performance against their stated goals and the Company's core competency framework, drawing on peer feedback where relevant (particularly for cross-functional roles).

5.3 Calibration

Manager ratings are reviewed in a calibration session with department leadership and HR to ensure consistency of rating standards across teams before ratings are finalized and communicated.

6. Rating Scale

- Outstanding: Significantly exceeded expectations across all goals; demonstrates role-model behavior.
- Exceeds Expectations: Consistently surpassed most goals with strong quality of work.
- Meets Expectations: Achieved goals as planned, meeting the expected standard for the role.
- Partially Meets Expectations: Achieved some goals but fell short in key areas; requires a structured improvement plan.
- Does Not Meet Expectations: Significant gaps in performance requiring immediate corrective action and close manager support.

7. Linkage to Compensation and Promotion

Year-End Review ratings directly inform the annual compensation review cycle and promotion recommendations. Employees rated 'Exceeds Expectations' or 'Outstanding' are prioritized for promotion consideration, subject to role availability and department budget. Employees rated 'Does Not Meet Expectations' are placed on a formal Performance Improvement Plan (PIP) with defined milestones and a review period of 60 to 90 days.

8. Feedback Culture

NovaTech Enterprises encourages a culture of continuous, two-way feedback rather than feedback being limited to formal review cycles. Employees are encouraged to seek feedback proactively from managers and peers, and managers are expected to provide timely, specific feedback throughout the year so that formal reviews contain no surprises.

9. Appeals Process

Employees who disagree with their performance rating may formally appeal within 10 working days of the rating being communicated, by submitting a written appeal to their HR Business Partner. The appeal will be reviewed jointly by HR and the next-level manager, and a final decision will be communicated within 15 working days.